

Transit Agency

Requisition Approval Overview

PROCUREMENT GUIDE

What a requisition is, who approves it, typical thresholds, and best practices

What Is a Requisition?

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Definition

A transit-agency purchase requisition documents the need for parts, services, or capital equipment and starts the procurement process, which must also satisfy Federal Transit Administration (FTA) requirements when federal funds are involved.

Why Approval Matters

- Ensures compliance with FTA procurement circulars and federal funding rules
- Confirms budget and grant-fund availability before commitment
- Supports safety and service reliability through timely procurement
- Documents the competitive process for audits and FTA triennial reviews

Approval Hierarchy

Who reviews and approves a requisition, step by step



Roles & Responsibilities



What each approver actually checks before signing off

Operations / Program Staff

- Identifies the need for parts, service, or capital equipment
- Submits the requisition with justification

Approvers

- Reviews the need for parts, service, or capital equipment
- Approves the requisition

Procurement Officer / Contracts Specialist

- Reviews specifications
- Determines the appropriate sourcing method

Director of Procurement

- Approves within delegated authority
- Oversees solicitation and vendor evaluation

Chief Financial Officer

- Certifies funding availability
- Confirms compliance for federal/state grant sources

General Manager/CEO & Board of Directors

- Gives final authorization above board-delegated limits
- Approves major capital and service contracts

Typical Approval Thresholds

Illustrative dollar tiers seen in Transit Agency purchasing policies

1

Small-dollar purchases are often delegated to procurement staff without board involvement

2

Mid-size procurements typically need Director of Procurement and CFO sign-off

3

Larger capital or service contracts usually require General Manager approval

4

Contracts above board-set thresholds require formal Board of Directors action

These figures are illustrative examples drawn from public purchasing policies, not a universal standard — always confirm the current thresholds in your own adopted policy.

Best Practices & Common Challenges

Lessons learned from running requisition approvals at scale

Best Practices

- Maintain FTA-compliant written procurement procedures
- Apply full and open competition above micro-purchase levels
- Track Disadvantaged Business Enterprise (DBE) participation where applicable
- Log every approval step for periodic FTA procurement reviews

Common Challenges

- Mixing federal, state, and local funding sources complicates compliance
- Board meeting cadence can slow high-dollar approvals
- Vehicle and parts procurement often face long lead times
- Emergency repairs need documented sole-source justification

Key Takeaways

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- 1 Transit procurement approval must satisfy both agency policy and FTA rules
- 2 CFO sign-off protects the use of federal and state grant funds
- 3 The Board of Directors retains final authority on major contracts
- 4 Minimal approval for spare part replenishment originating for EAM/Work Order Management system